5 things to know about the EU-China deal

送信者: POLITICO Pro Article 受信日時: 2026-10-13 01:42

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By Koen Verhelst · Oct 12, 2026, 6:40 PM · View in your browser

BRUSSELS — The deal the EU reached with Beijing on Friday to brook the flow of Chinese hybrid vehicles to Europe was just the “crucial first step” toward reframing their overall trade relationship, Trade Commissioner Maroš Šefčovič has stressed.

Šefčovič and his counterpart Commerce Minister Wang Wentao issued a joint statement Oct. 9 outlining 16 points of progress in ongoing talks, with the Slovak commissioner noting the initial agreement will be expanded to embrace tariffs, foreign investment, raw materials … and even ice cream.

Talks now turn to the urgent issue of critical raw materials. After EU leaders meet this week to review developments and map a way forward, Sefcovic will hold a video call with Wang in his diary for January, while the two will also meet in person at the next Trade and Investment Consultations in March.

Šefčovič had previously threatened severe consequences if China did not start to negotiate in earnest .

Here’s a state-of-play on what has been agreed so far:

1. Chinese hybrid imports to drop by more than half

Europe’s main takeaway from last week’s talks in Beijing was an agreement by China to curb its auto exports to the EU. In 2027 only 350,000 made-in-China hybrid vehicles will be allowed into the bloc, with customs simply ceasing to process additional arrivals.

A senior EU official said the 2026 total is expected to land above 800,000 units.

The official said it was in China’s interest to accede to the projected 56% cut because the EU remains its largest customer by far, with 100% tariffs locking Beijing out of the U.S. market. “You won’t find it easy to buy a Chinese vehicle in the U.S. There’s [also] not so many on the Canadian market or on the Japanese market,” they said, adding: “In business there is a saying: The customer is always right.”

With this deal, China retains significant and predictable access to its largest market, with Europe threatening to take far harsher and unilateral action if Beijing continues to ignore its concerns.

Unusually, the compromise will be implemented through a so-called safeguards investigation of hybrids, meaning the outcome of the probe is decided before it begins. The official added that the number of made-in-China hybrids allowed into the EU will rise 6% annually. The deal lasts for four years and can be extended for another four if desired.

Other countries besides China will get their own specific national allocations for hybrid exports to the EU. The package should be ready by Dec. 1, which is faster than normal, not to mention the usual timelines for a safeguards investigation.

2. Allies offered market share carrot

The EU market share of Chinese hybrids should tumble from 12% to about 6%, the Commission official estimated, allowing EU producers to catch their breath and make up lost ground. By the same token, allied countries should also find it easier to gain EU market share, even though the trade measures nominally target them as well.

“The measures will actually not be constraining in the way that they are constraining on Chinese exports, and would enable a number of important third country origins to regain market share” recently lost to China, the official said.

The EU could also have chosen to carve out allies like Japan, Korea and the United Kingdom because they aren’t the source of the damaging surge in hybrids.

3. Moving Chinese production to Europe

The measures — especially paired with the upcoming Industrial Accelerator Act — are designed to incentivize Chinese companies to set up shop in Europe. Accordingly, a car built by a Chinese company in France or Hungary would be considered an EU-made car and therefore not count toward the quotas, the official explained.

Likewise, if Chinese companies develop or even only assemble vehicles in Morocco, Tunisia and other countries, the cars will be counted as coming from those countries. A European-branded car built in China will equally be regarded as having “a Chinese passport.”

Rules will soon be in place, the official said, to ensure that any investment in Europe “contributes to the ecosystem, that it draws on the skills, the talents and that it reinforces the communities we have.” The aim is “making sure that China comes to us not just with containers, but with capital and investment in the European Union.”

4. Raw material export permits streamlined

The deal goes a lot easier on Beijiing when it comes to the supply of Chinese raw materials — especially rare earth elements and permanent magnets.

The two sides have had “an on-demand, fast-track mechanism” for a year now, the official said, through which 90% of priority licenses are granted. It works as “a sort of green channel [i.e. fast-tracked administrative procedure] that we have now been running with MOFCOM [China’s Commerce Ministry] and the Commission.”

On top of that, the existing Export Control Dialogue between the EU and China will be upgraded and included in the intensive Trade and Investment Consultations the two sides set up earlier this year (a second TIC meeting took place last week).

But future steps are less obvious here, because China still hopes to see Europe relax its export controls on high-tech products like ASML's chip-making machines.

5. China lowers tariffs on some EU products

Finally, China agreed to relax market access for several EU items including ice cream and olive oil, while footwear and car parts will also face lower tariffs from Beijing.

"We are the largest producer of processed agricultural products," the official noted. "We will see more than plain vanilla getting exported as part of the deal."

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